In most cases, PF is inversely proportional to accuracy. Whenever we look for a high-accuracy trading system, PF automatically decreases. In contrast, many trading systems with less accuracy can have a high PF (however, it doesn't mean that all those systems with less accuracy will have high PF).

Fact #2 - A trading system with a higher than 1.2 Profit Factor is good if it scores well with other factors.

3 - Maximum Drawdown

Assume a trader has a good trading system – Success ratio of 60%, Profit Factor of 1.5.

It means out of 100 trades, 60 trades are winners, and 40 trades are losers. In addition, if we risk 10K per trade, winning trades made a profit of 15K (RR of 1-1.5).

So all looks good on paper, right?

A trader starts to use the above system and deploys 1,000,000 (10 Lakh) capital for this system.

After some trades, his capital reduces to 700,000 (7 lakhs, which is 30% erosion). Do you think he will be able to keep the same emotional stability to take trades while using the same trading strategy?

The answer is a big NO!

In the above case, if the maximum drawdown was only 10% (meaning capital erosion only up to 9 lakh), then the same trader is in a better frame of mind to take the trades using the same trading system.

Hence, maximum drawdown also plays a vital role psychologically while picking a trading system.

Fact #3 - Maximum Drawdown in any trading system should not exceed 20%. I suggest picking only the techniques which have less than 10% maximum drawdown.